

Fact Sheet

Payroll Deduction Retirement Programs Build Economic Security

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Access to an employer-based retirement plan is critical for building financial security later in life. Yet, nearly half of American employees in the private sector—roughly 56 million—work for an employer that does not offer either a traditional pension or a retirement savings plan. That 47 percent includes workers at all levels of earnings, education, and backgrounds. All of them would benefit from the ability to use payroll deduction to save for retirement.

Many states are working toward closing this coverage gap through state-facilitated retirement savings programs, but millions still lack the ability to build financial security at work using payroll deduction. As of October 2024, eleven states had “Work & Save” programs open to savers and nine additional states are implementing programs.¹

Situation by the numbers

About 47 percent of American workers ages 18 to 64 in 2022 were employed by businesses that do not offer any type of retirement plan.²

- **Small business employees are less likely to have a plan.** The smaller the employer, the less likely its workers are to have access to a retirement plan. Almost 78 percent of those who work in firms with under 10 employees, and about 64 percent at companies with between 10 and 24 employees lack a plan. However, even among very large employers with more than 1,000 workers, over one-third of employees do not have access to an employer sponsored retirement plan.
- **Workers at all education levels lack a plan.** About three out of four workers with less than a high school degree do not have access to an employer-provided retirement plan—a much higher percentage than workers with some college (50 percent) and a bachelor’s degree (31 percent).
- **Employees at all earnings levels do not have access to a plan.** About 44 million workers with annual earnings of \$53,000 or less (79 percent of the 56 million) do not have access to an employer-provided retirement plan. In addition, almost 12 million employees earning more than \$53,000 do not have access to a workplace plan.
- **Access to a plan differs substantially by race, ethnicity, and gender.** About 63 percent of Hispanic workers, 52 percent of Black workers, and 44 percent of Asian American workers lack access to an employer-provided retirement plan. Together, they accounted for about 47 percent (26 million) of the roughly 56 million employees without a workplace retirement plan. In addition, 46 percent of all men and 48 percent of all women do not have access to an employer provided plan.

Access to payroll deduction retirement savings plans is important

- **Makes saving easier:** About 96 percent of American voters over the age of 25 say that having a workplace retirement savings plan is important in helping them save for retirement. Saving at work appears to be critical: few households eligible to contribute to an Individual Retirement Account outside of their job regularly do so.^{3,4}
- **Helps increase retirement income:** Social Security is essential to retirement security, but its average retirement benefit is only about \$1,767 a month. Most retirees will need additional resources. Providing workers with a convenient way to save is an important step toward increasing the amount of assets a person will have at retirement. A 2023 Employee Benefit Research Institute study found that about 79 percent of employees with access to a retirement plan had more than \$25,000 in total savings and investments, and 65 percent had \$100,000 or more. However, only 23 percent of those without access to such a plan had over \$25,000 saved, and only 11 percent had \$100,000 or more.⁵
- **Allows individuals to build their own economic security:** Retirement savings plans help workers build their own economic security. Greater access could also improve economic mobility and reduce wealth disparity.

UNITED STATES: WHO IS NOT COVERED BY A WORKPLACE RETIREMENT PLAN?

Item	Group	%	Number
ALL	ALL	47.1%	55,837,841
Age	18–34 years	55.9%	26,862,949
	35–44 years	42.7%	11,426,254
	45–54 years	39.9%	9,363,363
	55–64 years	40.3%	8,185,274
Race & Ethnicity	Hispanic	63.1%	14,931,068
	Asian	43.6%	4,072,150
	Black	52.4%	7,416,298
	White	41.0%	28,499,588
Education	Less than High School	75.9%	6,706,988
	High School	58.0%	19,388,410
	Some College	49.6%	16,103,114
	Bachelor's or Higher	31.1%	13,639,328
Gender	Male	46.2%	29,276,760
	Female	48.1%	26,561,080
Employer Size	Under 10	78.0%	11,959,491
	10–24	64.4%	12,666,860
	25–99	51.9%	4,914,852
	100–499	40.9%	6,346,076
	500–999	37.9%	2,580,161
	1,000 +	33.6%	17,370,402
Earnings Quintile	\$20,000 or less	78.3%	19,833,424
	\$20,001 to \$35,000	61.2%	14,170,278
	\$35,001 to \$53,000	44.1%	10,149,240
	\$53,001 to \$85,000	30.0%	7,177,672
	Over \$85,000	19.5%	4,507,226

Notes: The data sources for this fact sheet count those workers who do not have an employer-sponsored retirement savings plan or pension. Race categories exclude those not listed.

- 1 For more information, see AARP's State Retirement Resource Center at <https://www.aarp.org/pri/initiatives/state-retirement-resource-center/>.
- 2 For the methodology, see John Sabelhaus, "The Current State of U.S. Retirement Plan Coverage", Working Paper WP 2022-07, Wharton Pension Research Council, Philadelphia, Pennsylvania, March 2022, https://repository.upenn.edu/prc_papers/726/.
- 3 AARP Research, "Saving for Retirement at Work: Views of Voters Ages 25+", October 2021, https://www.aarp.org/content/dam/aarp/research/surveys_statistics/econ/2021/retirement-savings-work.doi.10.26419-2Fres.00500.001.pdf.
- 4 For workers earning between \$30,000 and \$50,000, about 72 percent participated in an employer-provided retirement savings plan when one was available compared with less than 5 percent without an employer plan who contributed to an Individual Retirement Account. Unpublished estimates from the Employee Benefit Research Institute (EBRI) of the 2004 Survey of Income and Program Participation Wave 7 Topical Module.
- 5 EBRI, 2023 "RCS Factsheet #6", https://www.ebri.org/docs/default-source/rcs/2023-rcs/rcs_23-fs-6_wsp.pdf?sfvrsn=648d392f_4.

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